China Equity Strategy

Tighter capital rules positive for the A-share market

Equity Strategy
China

- New outbound investment regulation to boost A-share market liquidity inflows
- Growth indices like ChiNext (going global) and STAR50 (tech self-sufficiency) to benefit the most
- Our analysis suggests that the impact of drift in investment style for mutual funds will be limited

The Regulation on Outbound Investment (State Council Decree No. 837), effective 1 July 2026, is China's first dedicated administrative regulation on outbound investment, turning fragmented departmental rules into a unified legal framework. In this report, we assess the impact.

Tighter controls, clearer direction. The Regulation on Outbound Investment (*link*) and enhanced regulation of cross-border securities and insurance companies suggest that regulators intend to channel capital back to authorised markets like the A-share market and the Southbound Connect. We see this as the third round of capital outflow restrictions since 2016 (*Exhibit 1*): **1)** 2016-17: Regulating unlawful selling of overseas insurance products and restricting overseas investment in sectors like real estate; **2)** 2021-22: Prohibited overseas institutions (e.g., Futu and UP Fintech) from opening new accounts for onshore residents; and **3)** a two-year initiative to prevent unlawful cross-border operations conducted by overseas financial institutions.

Impact for financial institutions. The impact could be limited for banks; however, for insurers, more regulatory guidance, especially for cross-border sales, distribution and enforcement, is expected. For brokers, we estimate the suspension of cross-border equity total return swaps (TRS) could suggest a 0.8-1.2% impact on the top 10 listed brokers' total revenue. Cross-border asset management is also facing more compliance requirements, but onshore wealth managers might benefit from some offshore investment activities going back to onshore channels (see *Hong Kong Financials: Top ten Q&A on cross-border wealth flows*, Gary Lam, 29 June 2026).

Impact for China stocks. We believe the regulation is positive for the A-share market as both onshore institutions and personal investments face greater difficulty in investing in overseas markets. Onshore growth stocks offering going global opportunities (e.g., ChiNext) and tech self-sufficiency (e.g., STAR50) should benefit the most. For H-shares, this could be a short-term negative as onshore funds will have to sell stakes from their original broker accounts but should be neutral when these funds are channelled back and re-invested through the Southbound channel. As such, we expect to see continued southbound inflows (*Exhibit 2*).

Impact of the correction on mutual funds' style shift. Our analysis suggests that the impact could be limited as it involves market cap of only RMB11.6bn – 0.3% of the total AUM of active mutual funds of RMB4.0trn (*Exhibit 9*), much less than investors anticipated. This is because: 1) most active mutual funds are flexible enough to avoid concentration in one industry or one theme and the total AUM of consumer, healthcare and dividend-mandate active mutual funds is only RMB333.4bn; and 2) among special mandate funds, only a small fraction of AUM is involved in style drift, especially for healthcare-mandate funds (1.4% AUM). We find the stocks benefitting most from style drift are CATL, TFC and Eoptolink (*Exhibit 10*). In our view, the AI-centric rally will broaden, driven by fundamentals (industrials and materials), valuations and positions (consumer-related), and dividend appeal (high-yield stocks).

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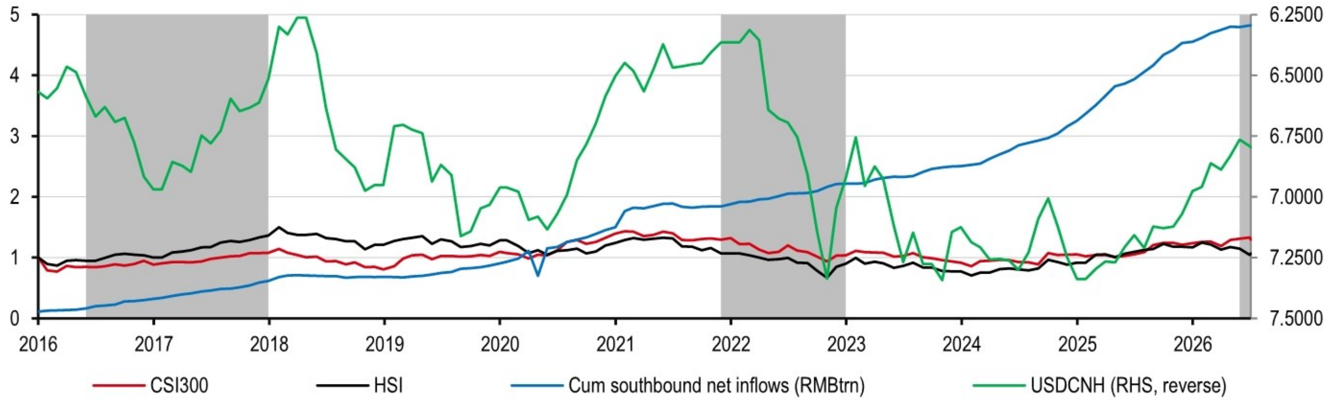
Exhibit 1. China's policy measures on outbound investment since 2016

Date	Authorities	Key policy measures
2 Jun 2026	State Council	*State Council Regulations on Outbound Investment* ◆ For the purposes of this provision, "investors" refer to companies, other organisations, and individual residents in China; ◆ Investors enjoy the right to autonomy in outbound investment in accordance with the law, making their own decisions, bearing their own risks, and assuming responsibility for their own profits and losses; ◆ Improve the comprehensive overseas service system, coordinate service resources covering foreign affairs, legal affairs, finance and taxation, banking, trade, and logistics to deliver service guarantees for investors; ◆ Strengthen the outbound investment management system, refine regulatory and control measures, conduct full-process supervision by category and tier, and reinforce risk prevention and control.
22 May 2026	China Securities Regulatory Commission (CSRC)	*Implementation Plan for the Comprehensive Remediation of Illegal Cross-Border Securities, Futures, and Fund Business Activities* ◆ Establish a two-year intensive rectification period to clear out existing illegal business operations and fully outlaw illegal cross-border operations conducted by overseas securities, futures and fund operating institutions; ◆ During the period of intensive rectification, overseas institutions are prohibited from illegally providing services, such as facilitating buy orders or fund inflows, to existing domestic investors; only one-way sell transactions and fund withdrawals are permitted; ◆ Upon the conclusion of the intensive rectification period, overseas institutions must fully shut down their onshore websites, trading software, and associated servers.
30 Dec 2022	China Securities Regulatory Commission (CSRC)	Futu Holdings and UP FinTech are required to rectify their illegal and non-compliant activities: ◆ Soliciting domestic investors, acquiring new domestic clients and opening new accounts are prohibited for illegal activities; ◆ Existing domestic investors are allowed to continue conducting transactions through the original overseas institutions; however, overseas institutions are prohibited from accepting incremental funds that violate China's foreign exchange administration rules into the accounts of such investors.
11 Nov 2021	China Securities Regulatory Commission (CSRC)	Regulatory meeting with senior management of Futu Holdings and UP FinTech, requiring them to standardise their cross-border securities businesses targeting onshore investors in accordance with laws and regulations.
26 Dec 2017	National Development and Reform Commission (NDRC)	*Administrative Measures for Outbound Investment by Enterprises* ◆ Outbound investment includes: 1) establishing new overseas companies or increasing capital contributions to existing overseas companies; 2) initiating or subscribing to overseas equity investment funds; and 3) controlling overseas companies or assets through means, such as agreements and trusts.
4 Aug 2017	General Office of the State Council	*Guidance on Further Directing and Regulating Overseas Investment Direction* ◆ Prioritise the advancement of overseas infrastructure investments that facilitate the Belt and Road Initiative and the interconnection of infrastructure with neighbouring regions; ◆ Strengthen investment cooperation with overseas high-tech and advanced manufacturing companies, and encourage the establishment of overseas R&D centres; ◆ Restrict overseas investment in sectors, such as real estate, hotels, cinemas, entertainment industries, and sports clubs.
23 May 2016	China Insurance Regulatory Commission (CIRC)	*Notice on Strengthening the Regulation of the Illegal Sale of Overseas Insurance Products* ◆ Closely supervise the practice of illegally selling insurance products in a disguised manner, specifically through a process of domestic introduction, offshore contract signing, and offshore underwriting.

Source: Wind, NDRC, State Council, Cailianshe, Guandian, Reuters, HSBC Qianhai Securities

Exhibit 2. Continued southbound inflows during capital outflow restriction periods



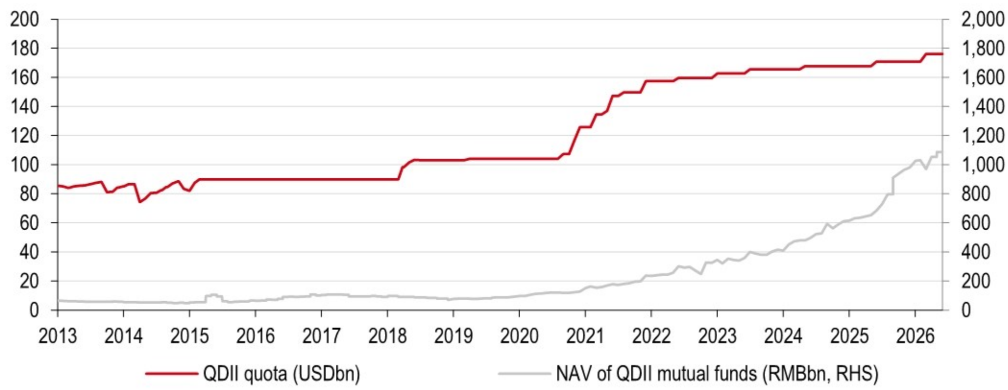
Note: Shaded region indicates periods of capital outflow restrictions.
Source: Wind, HSBC Qianhai Securities

Exhibit 3. Impact on financial institutions from the *Regulation* and recent regulatory policies

Industry	Relevant mentions in the *Regulation* and recent regulatory policies	Impact on related industry
Insurance	◆ The SFC and the HKMA issued circulars on tightened cross-border compliance and financial institutions should obtain a written declaration from mainland China investors confirming that all funds used for investment activities are from lawful sources outside mainland China. ◆ Policy-oriented insurance institutions are encouraged to offer services, such as overseas investment insurance, to support investors in their cross-border investment activities.	◆ General insurers face greater uncertainty and potential volatility, and more guidance, especially for cross-border insurance sales, distribution, and enforcement, are expected. ◆ Policy-oriented insurers are encouraged to offer services to cross-border investment.
Brokers	◆ The Regulation applies to activities involving direct or indirect acquisition of ownership, control, management rights, or other related interests regarding enterprises, assets, etc., in other countries (regions). ◆ Regulators require a suspension of the expansion of cross-border equity TRS.	◆ 0.8-1.2% of total top 10 listed brokers' revenue (RMB362bn in 2025, according to Wind), assuming RMB200-300bn cross-border equity TRS outstanding and a 1.5% fee per annum (as per cls).
Asset Management	◆ Management of investors' overseas investments in foreign financial markets using their own funds, raised funds, or other entrusted funds shall be conducted in accordance with the Regulation and other relevant national provisions. The Regulation covers aspects, including approval and filing, information reporting, cross-border capital registration, and security reviews.	◆ Onshore wealth managers might benefit from some offshore investment activities going back to onshore channels.
Banking	◆ Banking financial institutions should, based on their functional positioning, adhere to the principles of market orientation, rule of law, commercial sustainability, and risk controllability. Within their scope of business, they shall provide financing and other financial services to support investors in their overseas investments.	◆ Limited impact on HK banks. ◆ Beware of indirect effects rising from equity and property market sentiment fluctuations.
Professional Services	◆ The Regulation supports professional service institutions, including those specialising in consulting and valuation, legal services, accounting and auditing, credit rating, mediation and arbitration, and intellectual property, to expand their overseas services networks. This aims to enhance their international services capabilities and standards, thereby delivering high-quality professional services to investors and their overseas investment projects.	◆ Expanding overseas services networks is encouraged but with stricter compliance requirements.

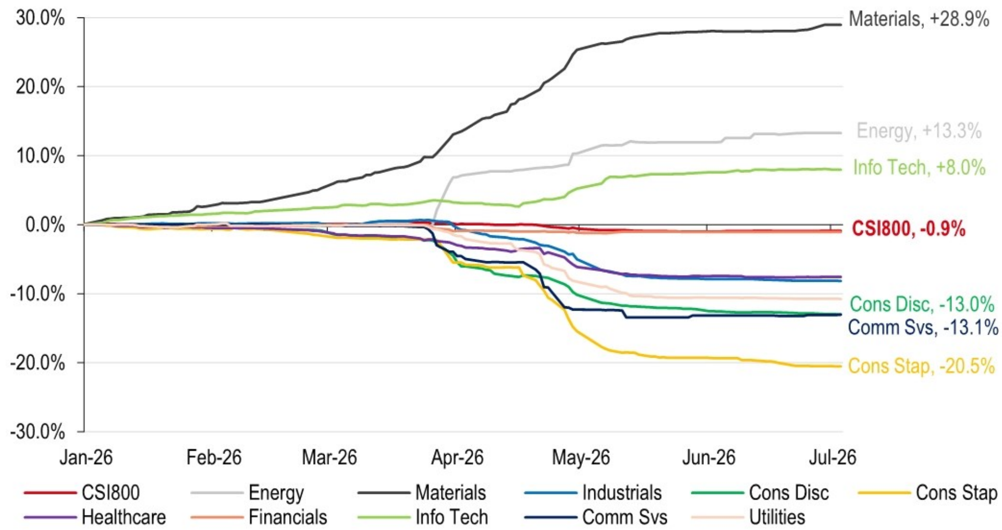
Note: See *Hong Kong Financials: Top ten Q&A on cross-border wealth flows*, Gary Lam, 29 June 2026.
Source: State Council, cls, HSBC, HSBC Qianhai Securities

Exhibit 4. Both QDII quota and NAV of QDII mutual funds are increasing. Crucially, regulators have signalled their intention to allocate further quotas, suggesting a supportive stance towards cross-border investments via compliant channels



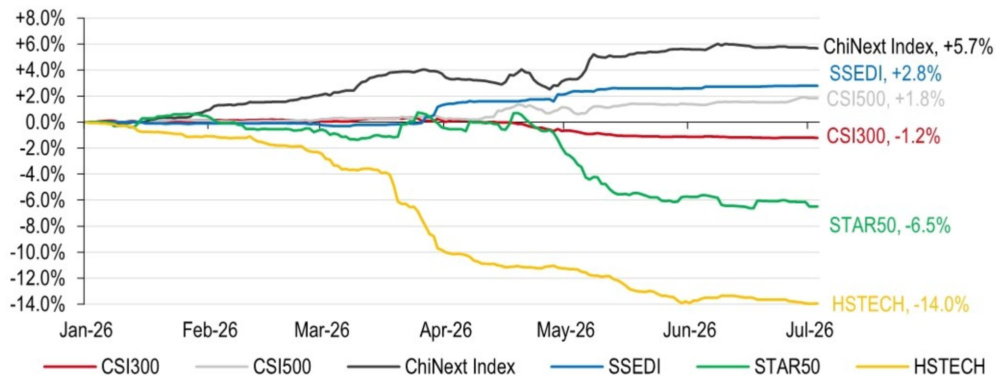
Source: Wind, stcn, HSBC Qianhai Securities

Exhibit 5. Consensus 2026e earnings for materials and energy have seen upward revisions of 28.9% and 13.3%, respectively, YTD



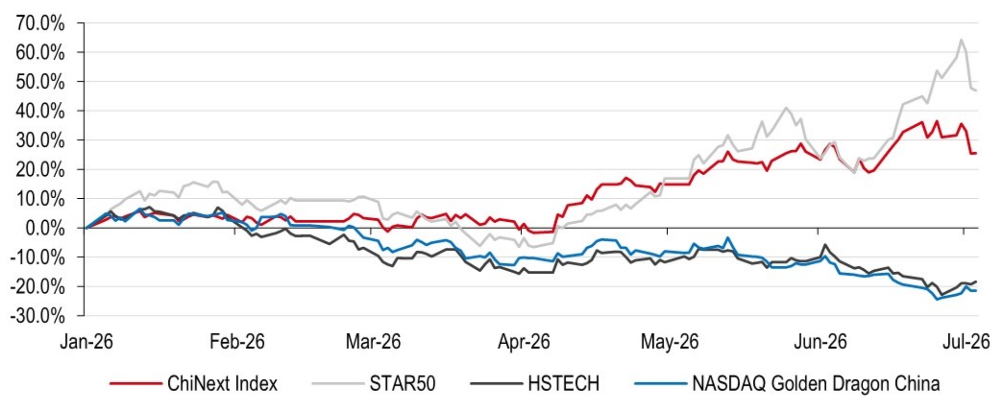
Note: Data updated to 3 July 2026; the real estate sector, which registered a 244.7% downward revision, is excluded from the chart.
Source: Wind consensus, HSBC Qianhai Securities

Exhibit 6. Consensus 2026e earnings for ChiNext Index have seen upward revisions of 5.7% YTD; consensus 2026e earnings for HSTECH have seen downward revisions of 14.0% YTD



Note: Data updated to 3 July 2026.
Source: Wind consensus, HSBC Qianhai Securities

Exhibit 7. Sharp divergence between A-share tech indices (ChiNext Index and STAR50) and offshore tech indices (HSTECH and Nasdaq Golden Dragon China) so far this year



Source: Wind, HSBC Qianhai Securities

Exhibit 8. A comparison of major tech indices suggests that STAR50 offers the highest earnings growth, while the ChiNext Index offers growth at a reasonable price (GARP)

		ChiNext Index	STAR50	HSTECH
Valuation level	PE (2026e)	33.4x	104.3x	18.3x
	Earnings growth (2026-28e three-year CAGR)	40.5%	76.5%	16.6%
	PEG	0.83	1.36	1.10
Weight distribution	Domestic compute	13.5%	**75.3%**	13.0%
	Overseas compute	**37.5%**	10.7%	0.0%
	AI enabler	4.6%	1.7%	2.5%
	AI adopter	9.8%	5.7%	**82.6%**
	Electric equipment	24.0%	2.2%	0.0%
	Healthcare	3.7%	3.6%	1.8%
	Others	6.9%	0.8%	0.0%
Key constituents	#1	Innolight (14.5%)	Cambricon (9.2%)	NetEase (9.6%)
	#2	CATL-A (13.6%)	Montage (8.2%)	SMIC-H (8.8%)
	#3	Eoptolink (10.0%)	AMEC (8.1%)	Tencent (8.3%)
	#4	East Money (3.5%)	Hygon (7.9%)	BYD-H (8.0%)
	#5	Sungrow Power (3.1%)	SMIC-A (7.4%)	Meituan (7.7%)
Earnings growth	FY25	+17.3%	-20.3%	+4.1%
	1QFY26	+25.6%	+261.3%	-6.6%
Earnings revision	YTD	+5.7% (+8.7% by excluding Wens)	-6.5% (-1.8% by excluding solar names)	-14.0%

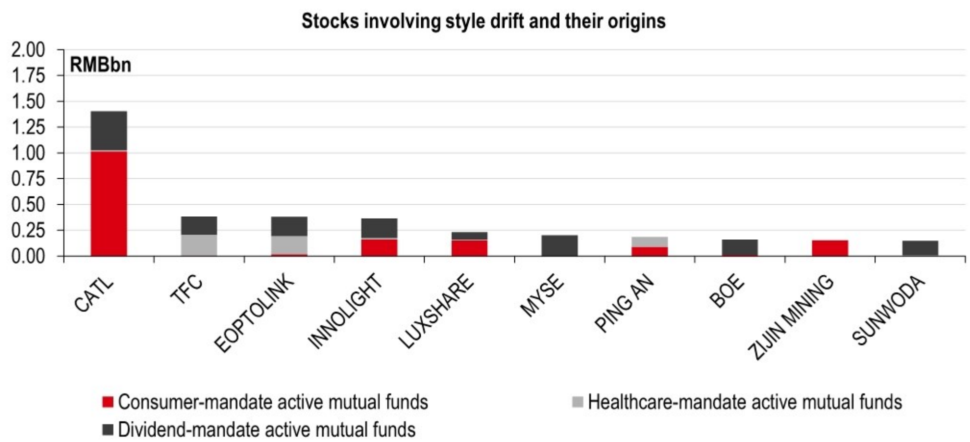
Note: Data updated until 3 July 2026.
Source: Wind, Wind consensus estimates, HSBC Qianhai Securities

Exhibit 9. The AUM involving style drift, as a percentage of total AUM of active mutual funds, is only c0.3%

	AUM (RMBbn)	AUM involving style drift (RMBbn)	Percentage of style drift
Consumer-mandate active mutual funds	84.6	4.1	4.8%
Healthcare-mandate active mutual funds	168.5	2.4	1.4%
Dividend-mandate active mutual funds	80.3	5.1	6.4%
Sub Total	**333.4**	**11.6**	**3.5%**
Other active mutual funds	3,618.1		
Total	**3,951.5**	**11.6**	**0.3%**

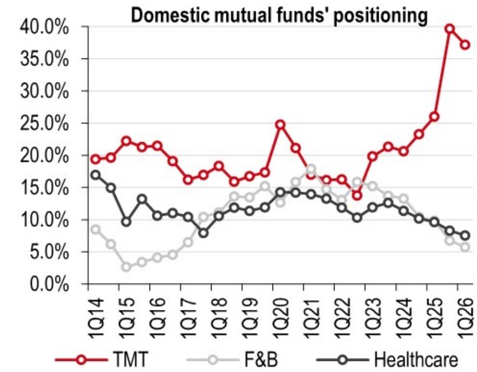
Source: Wind, HSBC Qianhai Securities

Exhibit 10. Funds involving style drift like to buy CATL (mainly consumer-mandate and dividend-mandate), TFC (mainly healthcare-mandate and dividend-mandate), and Eoptolink (same as TFC) the most



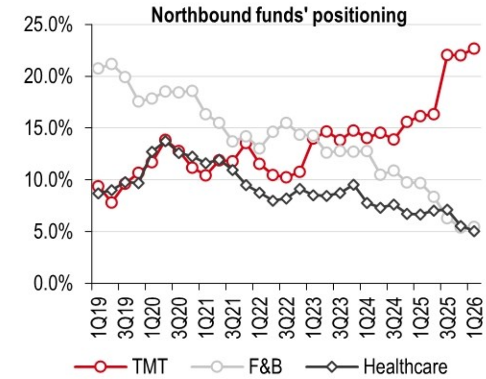
Source: Wind, HSBC Qianhai Securities

Exhibit 11. The broadening of the AI hardware rally may be driven by an unravelling of the extreme sector positioning by mutual funds…



Source: Wind, HSBC Qianhai Securities

Exhibit 12. …and northbound funds



Source: Wind, HSBC Qianhai Securities

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